

Grammarly vs Microsoft Copilot

AI Writing & Workplace Productivity -- Task: Rewrite Business Email

Nguyen Trong Tien | 2A202600228 | Industry: C

Thesis: Distribution beats product speed when Big Tech owns the native surfaces.

Grammarly

A

Copilot

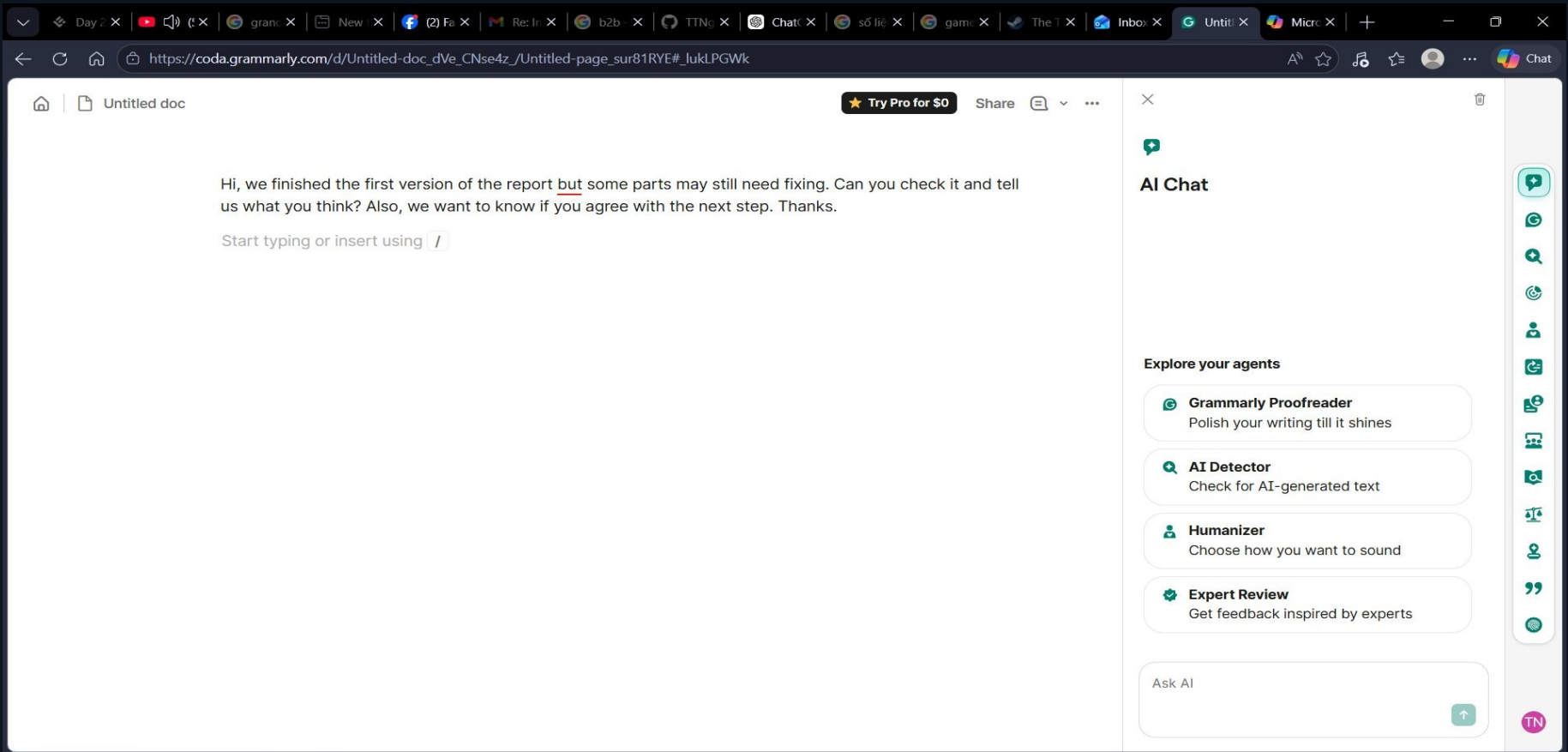
B

S1 -- PRODUCT MOMENT: Entry Point & First Impression

Factor	Grammarly (A)	Microsoft Copilot (B)
Entry Point	Doc editor (Coda/Notion style) + AI Chat panel right side 4 specialized agents	Chat interface Text input bottom Conversation area top Smart mode toggle
User Intent	Write, edit, improve text in document; select agent per task type	Chat with AI for any writing task: rewrite, summarize, draft
Surface	Document canvas + AI panel	Chat canvas only
Free Tier	Login required; free works but limited by Free Sample label	Login required; free tier allows FULL custom prompt -- no paywall

Key insight: Copilot chat box = zero learning curve. Grammarly 4 agents = better intent alignment but higher onboarding.

EVIDENCE S1 -- Grammarly Entry Point: Doc Editor + 4 AI Agents Panel



Doc canvas: email pasted, grammar underline auto-triggered on 'but'

AI Chat panel right: Proofreader / AI Detector / Humanizer / Expert Review

S2 -- WORKFLOW EVIDENCE: Steps & Friction Areas

Grammarly (A)

1. Open coda.grammarly.com
2. Paste email into doc
3. Grammar underline auto-appears
4. Select text -> trigger Rewrite
5. Popup overlay with Free Sample label
6. Accept (insert) or Dismiss
7. Copy from doc -> paste to email client

Microsoft Copilot (B)

1. Open copilot.microsoft.com
2. Paste full prompt + email
3. Receive formatted email draft
4. Read Suggested Subject Lines
5. Click Send with Outlook (done)

Friction Score: Grammarly = 6-7 steps (high physical + cognitive load). Copilot = 2-3 steps. **Send with Outlook eliminates the copy-paste step entirely.**

S2 -- FRICTION AREAS (3 Lenses)

Friction Type	Grammarly (A)	Microsoft Copilot (B)
Physical Load (clicks & steps)	HIGH: 6-7 steps open doc -> paste -> select -> trigger -> Accept -> copy -> paste to email client	LOW: 2-3 steps paste prompt -> receive output -> Send with Outlook B wins
Cognitive Burden (learning curve)	HIGH: must learn doc editor, 4 agents, inline trigger by selected text	LOW: chat UI is universally familiar; no new paradigm to learn before use B wins
User Workarounds (compensating behavior)	Must copy email to email client; may need upgrade to bypass Free Sample limit	Must enable Outlook on first use; Subject Lines not in viewport -- need to scroll A needs upgrade

S3 -- OUTPUT QUALITY & TRUST SIGNALS

Grammarly (A)

OUTPUT SAMPLE

Dear [Client Name], We are pleased to share the initial draft...

COMPLETENESS

Incomplete in free tier -- subject lines hidden behind paywall (Free Sample label)

TRUST MECHANISM

Transparency Trust:
Panel explains WHY each sentence was rewritten
(Organizing for better impact, Expressing appreciation)
-> Ideal for users who want to learn and control quality

Microsoft Copilot (B)

OUTPUT SAMPLE

*Subject: Draft Report and Next Steps
Body: 4-sentence professional email, send-ready format*

COMPLETENESS

Complete in free tier -- email body + subject field + Suggested Subject Lines section

TRUST MECHANISM

Workflow Confidence Trust:
Output formatted as real email ready to send
Send with Outlook = immediate action
-> Ideal for users who want to act fast

Both produce professional, accurate output. Copilot = act-now trust. Grammarly = understand-why trust.

EVIDENCE S2 & S3 -- Grammarly vs Copilot Output Comparison

Grammarly (A) -- Inline Rewrite Popup + Transparency Panel

The screenshot shows a web browser with a Grammarly extension popup. The popup is titled "Pro suggestion - Free sample" and contains the text: "Rewrite for professionalism and clarity", "Dear [Client Name],", "We are pleased to share the initial draft of your report for your review. Please let us know if there are any sections that require further refinement. Your feedback is important to ensure the final version meets your expectations.", "Additionally, we would appreciate your confirmation on the proposed next steps to keep the project moving forward.", and "Accept Dismiss". The transparency panel on the right shows the AI Chat interface with the following text: "Organizing the content for better readability", "Expressing appreciation for the client's collaboration", "This approach enhances clarity, saves the client's time, and strengthens your business relationship.", "I've proposed a revised version of your business email, making it more professional, concise, and persuasive while maintaining a polite and confident tone.", "I've also provided three suggested subject lines with an explanation of why this version is better. The new version clarifies your request, highlights next steps, and expresses appreciation for the client's collaboration. This should help foster a stronger and more efficient business relationship.", and "Suggestions 1".

Pro suggestion + Free sample label

Rewrite output: Dear [Client Name]...

Accept / Dismiss control + Explanation in panel

Microsoft Copilot (B) -- Send-Ready Email Draft + Outlook Integration

The screenshot shows a Microsoft Copilot interface. At the top, there is a text box with the prompt: "Rewrite this rough business email into a professional, concise, persuasive email for a client. Keep the tone polite but confident. Then suggest 3 subject lines and explain why your version is better." Below this, there is a text box with the draft email: "Hi, we finished the first version of the report but some parts may still need fixing. Can you check it and tell us what you think? Also, we want to know if you agree with the next step. Thanks.", "Here's the polished draft of your email, ready to review. You can open it directly in your mail app to send or adjust further:", "Send with Outlook", "Subject: Draft Report and Next Steps", "To:", "Paragraph", "Dear [Client],", "We are pleased to share the first version of the report with you. While this draft is complete, there may be areas that could benefit from refinement, and we would greatly value your feedback.", "Additionally, we would like to confirm your agreement on the proposed next steps so we can move forward efficiently.", "Thank you for your time and input. We look forward to your thoughts.", "Best regards, [Your Name]", "Allow Copilot to send email via Outlook? Enable Outlook", "Send", "Suggested Subject Lines", "Message Copilot", "Smart", and "Suggested Subject Lines".

Subject: Draft Report and Next Steps

Send with Outlook button -- no copy-paste needed

Suggested Subject Lines section below

S4 -- BUSINESS SIGNAL: Pricing Strategy & Positioning

Grammarly (A)

PRICING MODEL

Freemium to Seat-based SaaS

FREE TIER LIMIT

Free Sample label blocks full GenAI output

PAID PRICING

Pro: \$12/member/mo (annual) or \$30/mo
Business: enterprise pricing

BUSINESS STRATEGY

Sell standalone value:
Pay to write better
Freemium as acquisition channel
Vulnerable when Big Tech bundles AI into native surfaces

\$700M+ ARR (05/2025)

Microsoft Copilot (B)

PRICING MODEL

Bundle Add-on + Seat-based Enterprise

FREE TIER LIMIT

copilot.microsoft.com -- full custom prompt, no visible paywall in test

PAID PRICING

M365 Copilot: \$30/user/mo
requires qualifying M365 license

BUSINESS STRATEGY

Sell workflow integration:
Pay to work faster in M365
Upsell natural for existing M365 users
High switching cost - durable moat

M365 Intelligent Cloud: \$26.7B/Q
(Copilot ARR not broken out publicly)

S5 -- PRODUCT JUDGMENT: Moat Analysis (5 Dimensions)

Moat	A Score	Grammarly (A)	B Score	Microsoft Copilot (B)
Data Flywheel	2	Medium 40M DAU writing signals; but LLM corpora are larger	4	Strong Microsoft Graph: email, calendar, files, meetings of entire orgs
Network Effects	1	Weak Single-player; 1 user adds no value to others	3	Medium More org users -> richer Graph data -> better context for everyone
Switching Cost	2	Low-Medium Individuals easy to switch; enterprise harder	4	High Embedded in Word/Outlook/Teams -- leaving M365 is a major org decision
Brand	4	Strong Grammarly = writing quality for millions worldwide	3	Strong Microsoft trust in enterprise; Copilot brand still growing
Distribution	2	Medium - ATTACKED Extension follows users but doesn't own any surface	5	Very Strong Native in Word, Outlook, Teams, Excel -- no install needed

S5 -- DATA FLYWHEEL & GROWTH STAGE (Spark - Loop - System)

Grammarly (A)

DATA FLYWHEEL

40M DAU Accept/Dismiss signals -> writing preference loop
Compounding LIMITED -- each user doesn't pull in others
Flywheel at risk if limited to grammar correction data only
Needs: enterprise writing patterns & brand voice flywheel

LOOP -> transitioning to SYSTEM

40M DAU + \$700M ARR = past Spark stage
Freemium-to-paid loop is running
But distribution moat under attack
Coda + Superhuman = attempt to build System via workflow platform

12-MO FORECAST

12mo: If Superhuman Suite creates new switching cost -> may reach System.
If not -> Fit Compression from Big Tech continues.

Microsoft Copilot (B)

DATA FLYWHEEL

Microsoft Graph data (email, calendar, files, meetings) = widest enterprise context flywheel
Compounding STRONG -- more org users -> richer Graph -> better Copilot -> harder to leave M365
Grammarly standalone CANNOT replicate -- doesn't own workplace data

SYSTEM -- consolidating

M365 400M paid seats = System-level distribution
Switching cost of M365 ecosystem = System moat
Native in all Microsoft surfaces = no-install distribution

12-MO FORECAST

12mo: Deepening integration (Excel, Outlook, Teams, Copilot Pages). Needs to improve AI quality to justify \$30/user/mo ROI perception.

S5 -- NICHE DOWN + AI FEATURE MAP + VERDICT

Grammarly (A)

NICHE

Writing quality specialist

Students, content creators, office workers writing many emails/docs; enterprises needing brand voice consistency

AI FEATURE MAP

User Value

HIGH

Clear writing improvement; explanation transparency; 4 agents match task needs

User Alignment

MEDIUM

Free tier friction + doc editor paradigm doesn't match email workflow

Business Value

HIGH

40M DAU, \$700M+ ARR, \$13B valuation (2021); strong enterprise potential

VERDICT: PROMISING

Writing quality + agent UX strong, but distribution moat under attack. Coda + Superhuman = right direction, not complete yet.

Microsoft Copilot (B)

NICHE

Knowledge worker in Microsoft 365

Employees using Word/Outlook/Teams daily who need AI assistance within their existing workflow

AI FEATURE MAP

User Value

HIGH

End-to-end workflow (chat -> email -> Send via Outlook); format send-ready, no copy-paste

User Alignment

HIGH

Chat UX familiar; no new paradigm; free tier no visible paywall; matches user intent

Business Value

HIGH

\$30/user/mo enterprise on M365 400M seats; high switching cost; Graph data flywheel

VERDICT: STRONG

Distribution moat is platform-level and unreplicable by standalone tools. Wins on workflow, not AI writing quality alone.

S5.8 -- CONNECTION TO LAB 1 & KEY LESSON

Lab 1 -> Lab 2 Validated

Lab 1 analyzed Grammarly disruption risk from Big Tech AI. Lab 2 test confirms:

- Distribution moat attacked: Copilot has Send with Outlook; Grammarly requires copy-paste
- Core features commoditised: output quality is comparable
- Free Sample friction = standalone subscription hard to defend

Copilot Disruption Risks

Copilot not threatened by Grammarly, but faces:

- OpenAI ChatGPT Enterprise with M365 integration
- Google Workspace AI (Gemini in Docs/Gmail)
- Apple Intelligence Writing Tools for individual users

Main risk: ecosystem migration, not AI quality

Grammarly Path Forward

Coda + Superhuman acquisition = attempt to own email + doc workflow surface. Must:

- Build new switching cost around enterprise writing patterns
- Create brand voice flywheel Big Tech cannot replicate
- Compete on workflow ownership, not just writing quality

KEY LESSON FROM LAB 1

Distribution beats product speed when Big Tech owns native surfaces. Grammarly reacted fast (GrammarlyGO, 3.5 months) but still loses on workflow friction because it doesn't own an email client or doc platform.

The decisive question for any AI writing tool is not *Does this AI write better?* but **Which platform owns the surface where users actually work, and is the AI embedded natively?** This is why Copilot is at System stage while Grammarly is still transitioning.

CONCLUSION

THESIS: Both products produce comparable writing quality. Copilot wins on workflow integration -- Send with Outlook eliminates the copy-paste step that Grammarly still requires. Grammarly's strength is writing transparency and specialized agents, but its distribution moat is being attacked from the platform level. This validates Lab 1: in AI writing tools, distribution beats product speed when Big Tech owns the native surfaces.

Grammarly -- PROMISING

- > Writing quality & transparency: strong
- > 4 specialized agents: strong
- > Distribution moat: UNDER ATTACK
- > Workflow integration: WEAK
- > Repositioning via Coda + Superhuman

Copilot -- STRONG

- > Workflow end-to-end: strong
- > Send with Outlook: strong
- > M365 distribution: UNBEATABLE
- > Writing transparency: WEAK
- > Data flywheel via Microsoft Graph

The Real Winner: PLATFORM

- > Owning the surface > AI quality
- > Native embedding > extension
- > Bundle value > standalone SaaS
- > Graph context > grammar data
- > Distribution is the lasting moat